DSEH004 Performance Management and Employee Engagement

Week 8 | Lecture 3 | Unit III

Designing for Specific Segments

High potentials, returners, contract workers and fairness when one size does not fit all

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Commit before theory

A firm gives its top 10 percent of talent extra pay, coaching and visibility. What is the strongest objection?

A

It is unfair to everyone else

B

Potential is hard to identify, so the wrong people may be chosen

C

It will make the top 10 percent arrogant

D

It costs too much

Silzer and Church: what potential is made of

1 Foundational

Cognitive ability and personality: stable, hard to develop

2 Growth

Learning orientation, adaptability and motivation

3 Career

Leadership, functional and technical skills for the target role

Potential for what? It must be defined against a future role, not as a general quality of the person

Strategic talent management

Pivotal positions

Identify roles that most affect strategic outcomes

Talent pool

Build a pool of high performers and high potentials for those roles

Differentiated architecture

Invest differently, while keeping the rest of the workforce committed

Collings and Mellahi (2009): start from positions, not from people

Segments that standard design misses

1 Returners

Mainiero and Sullivan (2005): careers shift between authenticity, balance and challenge across life

2 Contract workers

Kalleberg (2000): nonstandard work weakens access to development and voice

3 Individual deals

Rousseau et al. (2006): negotiated i-deals can serve both sides if seen as fair

When differentiation becomes bias

Performance-reward bias

- Castilla (2008): equal evaluations, unequal pay rises for women and minorities
- Bias enters after the rating, in reward decisions

vs

The paradox of meritocracy

- Castilla and Benard (2010): stressing meritocracy can increase bias favoring men
- Transparency and accountability reduce gaps (Castilla, 2015)

Differentiation needs audit: check who gets in, who gets rewarded, and who decides

A segment design checklist

Question	Why it matters	Evidence base
Which roles are pivotal?	Avoids investing by status or visibility	Collings and Mellahi (2009)
How is potential defined?	Separates potential from current performance	Silzer and Church (2009)
Who is left out?	Contract and returning staff are often invisible	Kalleberg (2000); Mainiero and Sullivan (2005)
Are deals seen as fair?	i-deals can create resentment among coworkers	Rousseau et al. (2006)
Who audits outcomes?	Bias enters at the reward stage	Castilla (2008, 2015)

A high-potential program under fire

Teaching case (Course framing)

A Mumbai pharma company selects 30 high potentials each year by manager nomination. Of last year's group, 25 were from the two largest plants and 26 were men. Several women returners from maternity leave were rated highly but not nominated. Contract chemists are not eligible at all.

Work it through

1. Diagnose the selection process with Silzer and Church
2. Where could bias enter, following Castilla?
3. Should contract chemists be eligible? Argue both sides
4. Redesign the process with transparency and accountability

Exam-style question

Is differentiated talent management compatible with fairness? Answer using Collings and Mellahi (2009), Silzer and Church (2009) and Castilla's work on meritocracy. (20 marks)

What a strong answer does

- Explains pivotal positions and differentiated architecture
- Explains the components of potential and common confusions
- Uses Castilla's findings to show where bias enters
- Proposes safeguards and takes a reasoned position

Sources

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